

# Part 3 Notes

Implementation notes, assumptions, and practical edge cases for the low-stock alerts endpoint.

|          |                                                     |
|----------|-----------------------------------------------------|
| Project  | Inventory Management System for B2B SaaS            |
| Section  | Part 3 - API Notes and Assumptions                  |
| Endpoint | GET<br>/api/companies/{company_id}/alerts/low-stock |

The endpoint is expected at `http://localhost:3000/api/companies/:company_id/alerts/low-stock`. Authentication is assumed, but the current middleware only checks that a header is present, so proper JWT verification should be added before release.

```
8
9  ∨ ## Response
10
11  ∨ ```json
12  {
13    "alerts": [
14      {
15        "product_id": 1,
16        "product_name": "Widget A",
17        "sku": "WID-001",
18        "warehouse_id": 10,
19        "warehouse_name": "Main",
20        "current_stock": 5,
21        "threshold": 20,
22        "days_until_stockout": 12,
23        "daily_velocity": 0.43,
24        "supplier": {
25          "id": 5,
26          "name": "Supplier Corp",
27          "contact_email": "orders@supplier.com",
28          "lead_time_days": 7,
29          "minimum_order_quantity": 10,
30          "unit_cost": 25.50
31        }
32      }
33    ],
34    "total_alerts": 42,
35    "company_id": 1,
36    "generated_at": "2026-04-08T16:45:23.123Z"
37  }
38  ```
```

## The main decisions I made

- **Recent sales activity:** I went with 30 days. The spec says "recent" but doesn't define it. 30 days is a common default for inventory velocity calculations and gives enough data points to make a meaningful average. This should probably be a configurable setting per company down the line.
- **Stockout estimate:**  $\text{current\_stock} / \text{avg\_daily\_sales}$ , where  $\text{avg daily sales} = \text{total units sold}$

in the last 30 days / 30.

It's a simple linear projection and won't account for seasonal spikes, but it's honest about what it is. A fancier version could use a weighted moving average (recent days count more than older ones), but I'd want to validate whether the product team even wants that complexity before building it.

Returns `null` if we can't compute it. Showing a fake number is worse than showing nothing.

- **Warehouse-level alerts:** A product might be adequately stocked in one warehouse and critically low in another. Collapsing those into one alert would hide the location-specific problem. The frontend can always aggregate if they want a product-level summary view.
- **Bundle behavior:** Bundles don't have their own physical stock — their components do. Alerting on bundle stock doesn't make sense with this model. Component alerts will fire instead. If the product team wants bundle-level alerts calculated from component availability, that's a separate piece of work.

## Edge cases already considered

- Invalid `company_id` should return 400 status code instead of reaching the query layer.
- A missing company should return 404 status code instead of an empty success response.
- Products without suppliers should return supplier as null, not an empty object.
- If average daily sales is zero, `days_until_stockout` should be null rather than a fake number.
- Inactive products and inactive warehouses should be excluded from alert generation.
- Database failures should be logged server-side while returning a generic 500 status code to clients.

## What would strengthen this part further

- **Pagination:** If a company has thousands of low-stock products, returning them all at once will be slow. Cursor-based pagination would be the right call here.
- **Caching:** This query is read-heavy and the data doesn't change by the second. A 5-minute Redis cache per `company_id` would take a lot of pressure off the DB.
- **Configurable time window:** Right now `RECENT_SALES_WINDOW_DAYS` is hardcoded. It could be a query param (`?window=7`) or a company-level setting.
- **Unit tests:** The SQL logic and the response shaping are both testable. I'd mock the DB pool and write tests against known fixture data.
- **Rate limiting:** Low-stock alerts might get polled frequently by a dashboard. Worth throttling to protect the DB.

THE API IS GIVEN IN Part3-api folder inside src/routes